

stock buyers and sellers set the pattern for the market.

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The professional investor purchases stocks on what might be termed a scientific, or at least a cerebral, basis.

He analyzes facts and figures objectively and with great care and does his buying for purposes of long-term investment. He is, in effect, banking that the stocks he buys will increase appreciably in value over the next few or several years.

It is the emotional nonprofessional investor who sends the price of a stock up or down in sharp, sporadic and more or less short-lived spurts. A politician's speech, an ivory-tower pundit's pronouncements or prophecies, a newspaper item or a whispered rumor—such things are enough to trigger wildly enthusiastic buying sprees or hysterical orgies of panicky selling by thousands of self-styled investors. The professional investor has no choice but to sit by quietly while the mob has its day, until the enthusiasm or the panic of the speculators and nonprofessionals have been spent.

The seasoned investor does not allow temporary fluctuations in stock-market prices to influence his decisions to any great extent. Usually, he waits until prices return to approximately the levels at which he wants to buy or sell.

He is not impatient, nor is he even in a very great hurry, for he is an investor—not a gambler nor a speculator.

People often ask me what specific advice I would give to individuals who have various amounts—\$1000, \$10,000, \$100,000 or even more—to invest in common stocks. My answers are always the same. Whether I had \$100 or \$1,000,000 to invest, I would consider buying **only** such common stocks as are listed on a major stock exchange. I would apply the rules and tests I've enumerated and select the soundest and most promising growth stocks. And, I might add, I would certainly ignore the advice of promoters

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